

3.1 What is business?

3.1.1 Understanding the nature and purpose of business

Content	Additional information
Why businesses exist	Business objectives such as profit, growth, survival, cash flow, social and ethical objectives

Content	Additional information
The relationship between mission and objectives	
Why businesses set objectives	
The measurement and importance of profit	The measurement of profit should include: • revenue (also turnover and sales) • fixed costs • variable costs • total costs.